Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Corrections and Updates Testimony

of

Jonathan Cohen

Dated: July 3, 2019

I. Introduction

Q. Please state your name and business address.

A. My name is Jonathan Cohen. My business address is One MetroTech Center, Brooklyn, New York, 11201.

Q. Are you the same Jonathan Cohen who previously submitted prepared direct testimony in this proceeding?

A. Yes. I provided direct testimony as part of KEDNY's April 30, 2019 filing in this proceeding. The defined terms used in my direct testimony have the same meaning in this corrections and updates testimony.

Q. What is the purpose of your corrections and updates testimony?

A. The purpose of my corrections and updates testimony is to correct and/or update KEDNY's capital structure and cost of capital and the Service Company's cost of capital. This updated information is reflected in KEDNY's updated revenue requirement as set forth in the corrections and update testimony of the Revenue Requirements Panel.

Q. Do you sponsor any exhibits as part of your corrections and updates testimony?

A. Yes. Exhibit __ (JC-1CU) sets forth the revised projected weighted average cost of capital resulting from the corrections described below. This exhibit was prepared under my direction and supervision.

Q. Please describe the corrections and updates that are reflected in Exhibit __ (JC-1CU).

A. First, Exhibit __ (JC-1CU), Schedule 2, page 1 sets forth a corrected opening retained earnings balance of $1,253,901,000 as compared to the balance of $1,110,352,000 set forth on Exhibit __ (JC-1), Schedule 2, page 1 of my direct testimony. Second, because of the change in the opening retained earnings balance, an additional $200 million dividend was reflected on the same page of the exhibit in March of 2021 to more properly align the capital structure. Third, Exhibit __ (JC-1CU), Schedule 1, page 5 has been corrected to reflect the correct forecast interest rate -- 4.460 percent -- of the senior unsecured debt to be issued in March 2023. Finally, Exhibit __ (JC-1CU), Schedule 3 corrects a typographical error in the National Grid commentary included in the exhibit.

Q. Do the corrections and updates described above affect the weighted average cost of capital that you are recommending be adopted for KEDNY in this proceeding?

A. Yes. They have a very modest impact. If rates were to be established in a multi-year settlement in this proceeding, the Company's proposed weighted average cost of capital, including a stay-out premium on its cost of equity would be as follows as shown on Schedule 4 of Exhibit __ (JC-1CU).

	Rate Year (FY21)			Data Year 1 (FY22)			Data Year 2 (FY23)			Data Year 3 (FY24)		
	Capitalization Ratio	Cost Rate	Weighted Cost	Capitalization Ratio	Cost Rate	Weighted Cost	Capitalization Ratio	Cost Rate	Weighted Cost	Capitalization Ratio	Cost Rate	Weighted Cost
Long-Term Debt	51.58%	4.11%	2.12%	50.61%	4.11%	2.08%	49.62%	4.11%	2.04%	49.67%	4.19%	2.08%
Customer Deposits	0.42%	2.45%	0.01%	0.39%	2.45%	0.01%	0.38%	2.45%	0.01%	0.33%	2.45%	0.01%
Common Equity	48.00%	10.15%	4.87%	49.00%	10.15%	4.97%	50.00%	10.15%	5.08%	50.00%	10.15%	5.08%
Total	100.00%		7.00%	100.00%		7.06%	100.00%		7.13%	100.00%		7.17%

Q. Are you also updating the proposed Service Company capital structure?

A. Yes. The updated Service Company capital structure reflects a reduced cost of long-term debt of 3.7049 percent as compared to the 4.2900 percent included in my direct testimony. The revised Service Company weighted average cost of capital is as follows:

Service Company	**Capitalization Rate**	**Cost Rate**	**Weighted Cost**
Long-Term Debt	50.00%	3.7049%	1.85%
Common Equity	50.00%	9.6500%	4.83%
Total			6.68%

Q. Does this conclude your corrections and updates testimony?

A. Yes, it does.

Corrections and Updates Testimony of Jonathan Cohen

INDEX OF EXHIBITS

Exhibit ___ (JC-1CU):

Schedule 1	KEDNY Cost of Long-Term Debt
Schedule 2	Projected Capitalization and Weighted Average Cost of Capital
Schedule 3	KEDNY Credit Metric Projections
Schedule 4	KEDNY Weighted Cost of Capital for both the Rate Year and the Term of a Multi-Year Rate Plan
Schedule 5	Forecast Sources and Uses of Funds Statement

Corrections and Updates Testimony of Jonathan Cohen

Exhibit ___ (JC-1CU)

Schedule 1

KEDLI Cost of Long-Term Debt

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
WEIGHTED AVERAGE COST OF LONG-TERM DEBT
For 12 months period Ending December 31, 2018
($000)

LONG-TERM DEBT	RATE %	ISSUANCE DATE	MATURITY DATE	PRINCIPAL AMOUNT	ANNUAL INTEREST & FEES	ANNUAL AMORTIZATION DEBT DISCOUNT AND EXPENSE	TOTAL INTEREST AND ANNUAL AMORTIZATION	EFFECTIVE RATE
NYSERDA Variable 2005 Series B Due 2025	0.983%	11/1/2005	3/23/2018	55,000	541	273	814	1.48%
NYSERDA Variable 1991 Series D Due 2026	0.601%	7/1/1991	3/26/2018	50,000	301	128	429	0.86%
NYSERDA Variable 1997 Series Due 2020 A-1	0.619%	1/16/1997	3/29/2018	75,000	465	425	890	1.19%
NYSERDA Variable 1997 Series Due 2020 A-2	0.547%	1/16/1997	3/23/2018	50,000	274	235	509	1.02%
Senior Unsecured Debt due 2026	3.407%	3/7/2016	3/10/2026	500,000	17,041	210	17,251	3.45%
Senior Unsecured Debt due 2046	4.504%	3/7/2016	3/10/2046	500,000	22,526	128	22,654	4.53%
Senior Unsecured Debt due 2048	4.273%	3/9/2018	3/15/2048	650,000	21,994	147	22,141	3.41%
				1,880,000	**63,141**	**1,548**	**64,689**	**3.44%**
Post Test-Year / Pre-Rate Year Repayments and Issuances								
Repayments:		Original Maturity	Actual Maturity					
NYSERDA Variable 2005 Series B Due 2025	0.983%	6/1/2025	3/23/2018	(55,000)			-	0.00%
NYSERDA Variable 1991 Series D Due 2026	0.601%	7/1/2026	3/26/2018	(50,000)			-	0.00%
NYSERDA Variable 1997 Series Due 2020 A-1	0.619%	12/1/2020	3/29/2018	(75,000)			-	0.00%
NYSERDA Variable 1997 Series Due 2020 A-2	0.547%	12/1/2020	3/23/2018	(50,000)			-	0.00%
New Issuances:								
Total Long-Term Debt				**1,650,000**	**63,141**	**1,548**	**64,689**	**3.92%**

Notes

Exhibit __ (JC-1CU)
Schedule 1
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THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
WEIGHTED AVERAGE COST OF LONG-TERM DEBT
For 12 months period Ending March 31, 2021
($000)

3/31/2021

LONG-TERM DEBT		RATE %	ISSUANCE DATE	MATURITY DATE	PRINCIPAL AMOUNT	ANNUAL INTEREST & FEES	ANNUAL AMORTIZATION DEBT DISCOUNT AND EXPENSE	TOTAL INTEREST AND ANNUAL AMORTIZATION	EFFECTIVE RATE
Senior Unsecured Debt due 2026		3.407%	3/7/2016	3/10/2026	500,000	17,041	210	17,251	3.45%
Senior Unsecured Debt due 2046		4.504%	3/7/2016	3/10/2046	500,000	22,526	128	22,654	4.53%
Senior Unsecured Debt due 2048		4.273%	3/9/2018	3/15/2048	650,000	27,781	180	27,961	4.30%
					1,650,000	**67,348**	**519**	**67,867**	**4.11%**
Post Test-Year / Pre-Rate Year Repayments and Issuances									
Repayments:									
New Issuances:									
Senior Unsecured Debt due 2029		3.865%	3/4/2019	3/4/2029	550,000	21,264	327	21,590	3.93%
Senior Unsecured Debt due 2049		4.487%	3/4/2019	3/4/2049	450,000	20,198	89	20,287	4.51%
Senior Unsecured Debt due 2029	NOTE 1	3.830%	3/1/2021	3/1/2031	32,877	1,265	17	1,282	3.90%
Total Long-Term Debt					**2,682,877**	**110,074**	**952**	**111,025**	**4.11%**

Notes
NOTE 1: This rate has been calculated using the recent KEDNY issuance in February 2019. From this we use the 117bps spread for a ten year issuance and then add the US 10 year Treasury forward rate for March 1st

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THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
WEIGHTED AVERAGE COST OF LONG-TERM DEBT
For 12 months period Ending March 31, 2022
($000)

LONG-TERM DEBT	RATE %	ISSUANCE DATE	MATURITY DATE	PRINCIPAL AMOUNT	ANNUAL INTEREST & FEES	ANNUAL AMORTIZATION DEBT DISCOUNT AND EXPENSE	TOTAL INTEREST AND ANNUAL AMORTIZATION	EFFECTIVE RATE
Senior Unsecured Debt due 2026	3.407%	3/7/2016	3/10/2026	500,000	17,041	210	17,251	3.45%
Senior Unsecured Debt due 2046	4.504%	3/7/2016	3/10/2046	500,000	22,526	128	22,654	4.53%
Senior Unsecured Debt due 2048	4.273%	3/9/2018	3/15/2048	650,000	27,781	180	27,961	4.30%
Senior Unsecured Debt due 2029	3.865%	3/4/2019	3/4/2029	550,000	21,264	89	21,353	3.88%
Senior Unsecured Debt due 2049	4.487%	3/4/2019	3/4/2049	450,000	20,198	327	20,524	4.56%
Senior Unsecured Debt due 2029	3.830%	3/1/2021	3/1/2031	400,000	15,326	203	15,529	3.88%
				3,050,000	**124,135**	**1,138**	**125,272**	**4.11%**

Post Test-Year / Pre-Rate Year Repayments and Issuances

Repayments:

New Issuances:

Total Long-Term Debt				**3,050,000**	**124,135**	**1,138**	**125,272**	**4.11%**

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THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
WEIGHTED AVERAGE COST OF LONG-TERM DEBT
For 12 months period Ending March 31, 2023
($000)

3/31/2023

LONG-TERM DEBT	RATE %	ISSUANCE DATE	MATURITY DATE	PRINCIPAL AMOUNT	ANNUAL INTEREST & FEES	ANNUAL AMORTIZATION DEBT DISCOUNT AND EXPENSE	TOTAL INTEREST AND ANNUAL AMORTIZATION	EFFECTIVE RATE
Senior Unsecured Debt due 2026	3.407%	3/7/2016	3/10/2026	500,000	17,041	210	17,251	3.45%
Senior Unsecured Debt due 2046	4.504%	3/7/2016	3/10/2046	500,000	22,526	128	22,654	4.53%
Senior Unsecured Debt due 2048	4.273%	3/9/2018	3/15/2048	650,000	27,781	180	27,961	4.30%
Senior Unsecured Debt due 2029	3.865%	3/4/2019	3/4/2029	550,000	21,264	89	21,353	3.88%
Senior Unsecured Debt due 2049	4.487%	3/4/2019	3/4/2049	450,000	20,198	327	20,524	4.56%
Senior Unsecured Debt due 2029	3.830%	3/1/2021	3/1/2031	400,000	15,326	203	15,529	3.88%
				3,050,000	**124,135**	**1,138**	**125,272**	**4.11%**
Post Test-Year / Pre-Rate Year Repayments and Issuances								
Repayments:								
New Issuances:								
Senior Unsecured Debt due 2029	4.460% NOTE 1	3/1/2023	3/1/2053	41,096	1,839	21	1,860	4.53%
Total Long-Term Debt				**3,091,096**	**125,973**	**1,159**	**127,132**	**4.11%**

Notes
NOTE 1: This rate has been calculated using the recent KEDNY issuance in February 2019. From this we use the 142bps spread for a thirty year issuance and then add the US 30 year Treasury forward rate for March

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THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
WEIGHTED AVERAGE COST OF LONG-TERM DEBT
For 12 months period Ending March 31, 2024
($000)

LONG-TERM DEBT	RATE %	ISSUANCE DATE	MATURITY DATE	PRINCIPAL AMOUNT	ANNUAL INTEREST & FEES	ANNUAL AMORTIZATION DEBT DISCOUNT AND EXPENSE	TOTAL INTEREST AND ANNUAL AMORTIZATION	EFFECTIVE RATE
Senior Unsecured Debt due 2026	3.407%	3/7/2016	3/10/2026	500,000	17,041	210	17,251	3.45%
Senior Unsecured Debt due 2046	4.504%	3/7/2016	3/10/2046	500,000	22,526	128	22,654	4.53%
Senior Unsecured Debt due 2048	4.273%	3/9/2018	3/15/2048	650,000	27,781	180	27,961	4.30%
Senior Unsecured Debt due 2029	3.865%	3/4/2019	3/4/2029	550,000	21,264	89	21,353	3.88%
Senior Unsecured Debt due 2049	4.487%	3/4/2019	3/4/2049	450,000	20,198	327	20,524	4.56%
Senior Unsecured Debt due 2029	4.070%	3/1/2021	3/1/2031	400,000	16,286	203	16,489	4.12%
Senior Unsecured Debt due 2029	4.460%	3/1/2023	3/1/2053	500,000	22,306	254	22,560	4.51%
				3,550,000	**147,401**	**1,391**	**148,792**	**4.19%**

Post Test-Year / Pre-Rate Year Repayments and Issuances

Repayments:

New Issuances:

Total Long-Term Debt				**3,550,000**	**147,401**	**1,391**	**148,792**	**4.19%**

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Exhibit ___ (JC-1CU)

Schedule 2

Projected Capitalization and Weighted Average Cost of Capital

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
ESTIMATED COST OF CAPITAL (RATE YEAR)
AND RATE OF RETURN
($000)
For 12-month period ending March 31, 2021

	Long-Term Debt	Common Stock	Retained Earnings	Less Goodwill	Total Common Equity	Customer Deposits	Total Capitalization
Balance as of December 31, 2018	1,650,000	2,204,706	1,253,901	1,451,140	2,007,467	23,413	3,680,880
Changes to December 31, 2019	1,000,000	500,000	150,277	-	650,277	-	1,650,277
Balance as of December 31, 2019	2,650,000	2,704,706	1,404,178	1,451,140	2,657,744	23,413	5,331,157
Changes to March 31, 2020	0	0	121,594	0	121,594	0	121,594
Balance as of March 31, 2020	2,650,000	2,704,706	1,525,772	1,451,140	2,779,338	23,413	5,452,751
April 2020	2,650,000	2,704,706	1,550,458	1,451,140	2,804,024	23,413	5,477,437
May 2020	2,650,000	2,704,706	1,563,104	1,451,140	2,816,670	23,413	5,490,083
June 2020	2,650,000	2,704,706	1,558,622	1,451,140	2,812,188	23,413	5,485,601
July 2020	2,650,000	2,704,706	1,550,329	1,451,140	2,803,895	23,413	5,477,308
August 2020	2,650,000	2,704,706	1,544,179	1,451,140	2,797,745	23,413	5,471,158
September 2020	2,650,000	2,704,706	1,534,185	1,451,140	2,787,751	23,413	5,461,164
October 2020	2,650,000	2,704,706	1,539,651	1,451,140	2,793,217	23,413	5,466,630
November 2020	2,650,000	2,704,706	1,564,017	1,451,140	2,817,583	23,413	5,490,996
December 2020	2,650,000	2,704,706	1,603,647	1,451,140	2,857,213	23,413	5,530,626
January 2021	2,650,000	2,704,706	1,661,176	1,451,140	2,914,742	23,413	5,588,155
February 2021	2,650,000	2,704,706	1,718,291	1,451,140	2,971,857	23,413	5,645,270
March 2021	3,050,000	2,704,706	1,565,772	1,451,140	2,819,338	23,413	5,892,751
Twelve Months Total	32,200,000	32,456,472	18,953,430	17,413,679	33,996,223	280,956	66,477,179
13 month average over the year	2,666,667	2,704,706	1,577,786	1,451,140	2,831,352	23,413	5,521,432
Capitalization Ratios	48.3%				51.3%	0.4%	100.0%
Capitalization Ratios for Ratesetting	51.6%				48%	0.4%	100.0%
Cost Rates	4.11%				10.15%	2.45%	
Return Components	**2.12%**				**4.87%**	**0.01%**	**7.00%**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
ESTIMATED COST OF CAPITAL (DATA YEAR 1)
AND RATE OF RETURN
($000)
For 12-month period ending March 31, 2022

	Long-Term Debt	Common Stock	Retained Earnings	Less Goodwill	Total Common Equity	Customer Deposits	Total Capitalization
Balance as of March 31, 2021	3,050,000	2,704,706	1,565,772	1,451,140	2,819,338	23,413	5,892,751
April 2021	3,050,000	2,704,706	1,595,498	1,451,140	2,849,064	23,413	5,922,477
May 2021	3,050,000	2,704,706	1,610,726	1,451,140	2,864,292	23,413	5,937,705
June 2021	3,050,000	2,704,706	1,605,329	1,451,140	2,858,895	23,413	5,932,308
July 2021	3,050,000	2,704,706	1,595,343	1,451,140	2,848,909	23,413	5,922,322
August 2021	3,050,000	2,704,706	1,587,937	1,451,140	2,841,503	23,413	5,914,916
September 2021	3,050,000	2,704,706	1,575,903	1,451,140	2,829,469	23,413	5,902,882
October 2021	3,050,000	2,704,706	1,582,485	1,451,140	2,836,051	23,413	5,909,464
November 2021	3,050,000	2,704,706	1,611,826	1,451,140	2,865,392	23,413	5,938,805
December 2021	3,050,000	2,704,706	1,659,546	1,451,140	2,913,112	23,413	5,986,525
January 2022	3,050,000	2,704,706	1,728,820	1,451,140	2,982,387	23,413	6,055,800
February 2022	3,050,000	2,704,706	1,797,597	1,451,140	3,051,163	23,413	6,124,576
March 2022	3,050,000	2,704,706	1,654,772	1,451,140	2,908,338	23,413	5,981,751
Twelve Months Total	36,600,000	32,456,472	19,605,781	17,413,679	34,648,574	280,956	71,529,530
13 month average over the year	3,050,000	2,704,706	1,630,107	1,451,140	2,883,673	23,413	5,957,086
Capitalization Ratios	51.2%				48.4%	0.4%	100.0%
Capitalization Ratios for Ratesetting	50.6%				49.0%	0.4%	100.0%
Cost Rates	4.11%				10.15%	2.45%	
Return Components	**2.08%**				**4.97%**	**0.01%**	**7.06%**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
ESTIMATED COST OF CAPITAL (DATA YEAR 2)
AND RATE OF RETURN
($000)
For 12-month period ending March 31, 2023

	Long-Term Debt	Common Stock	Retained Earnings	Less Goodwill	Total Common Equity	Customer Deposits	Total Capitalization
Balance as of March 31, 2022	3,050,000	2,704,706	1,654,772	1,451,140	2,908,338	23,413	5,981,751
April 2022	3,050,000	2,704,706	1,687,996	1,451,140	2,941,562	23,413	6,014,975
May 2022	3,050,000	2,704,706	1,705,015	1,451,140	2,958,581	23,413	6,031,994
June 2022	3,050,000	2,704,706	1,698,982	1,451,140	2,952,548	23,413	6,025,961
July 2022	3,050,000	2,704,706	1,687,821	1,451,140	2,941,388	23,413	6,014,801
August 2022	3,050,000	2,704,706	1,679,544	1,451,140	2,933,110	23,413	6,006,523
September 2022	3,050,000	2,704,706	1,666,095	1,451,140	2,919,661	23,413	5,993,074
October 2022	3,050,000	2,704,706	1,673,451	1,451,140	2,927,017	23,413	6,000,430
November 2022	3,050,000	2,704,706	1,706,244	1,451,140	2,959,810	23,413	6,033,223
December 2022	3,050,000	2,704,706	1,759,579	1,451,140	3,013,145	23,413	6,086,558
January 2023	3,050,000	2,704,706	1,837,003	1,451,140	3,090,569	23,413	6,163,982
February 2023	3,050,000	2,704,706	1,913,870	1,451,140	3,167,436	23,413	6,240,849
March 2023	3,550,000	3,004,706	1,977,772	1,451,140	3,531,338	23,413	7,104,751
Twelve Months Total	37,100,000	32,756,472	20,993,372	17,413,679	36,336,165	280,956	73,717,121
13 month average over the year	3,070,833	2,717,206	1,735,989	1,451,140	3,002,055	23,413	6,096,302
Capitalization Ratios	50.4%				49.2%	0.4%	100.0%
Capitalization Ratios for Ratesetting	49.6%				50.0%	0.4%	100.0%
Cost Rates	4.11%				10.15%	2.45%	
Return Components	**2.04%**				**5.08%**	**0.01%**	**7.13%**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
ESTIMATED COST OF CAPITAL (DATA YEAR 2)
AND RATE OF RETURN
($000)
For 12-month period ending March 31, 2024

	Long-Term Debt	Common Stock	Retained Earnings	Less Goodwill	Total Common Equity	Customer Deposits	Total Capitalization
Balance as of March 31, 2023	3,550,000	3,004,706	1,977,772	1,451,140	3,531,338	23,413	7,104,751
April 2023	3,550,000	3,004,706	2,014,184	1,451,140	3,567,750	23,413	7,141,163
May 2023	3,550,000	3,004,706	2,032,837	1,451,140	3,586,403	23,413	7,159,816
June 2023	3,550,000	3,004,706	2,026,225	1,451,140	3,579,792	23,413	7,153,205
July 2023	3,550,000	3,004,706	2,013,993	1,451,140	3,567,559	23,413	7,140,972
August 2023	3,550,000	3,004,706	2,004,922	1,451,140	3,558,488	23,413	7,131,901
September 2023	3,550,000	3,004,706	1,990,181	1,451,140	3,543,747	23,413	7,117,160
October 2023	3,550,000	3,004,706	1,998,244	1,451,140	3,551,810	23,413	7,125,223
November 2023	3,550,000	3,004,706	2,034,184	1,451,140	3,587,750	23,413	7,161,163
December 2023	3,550,000	3,004,706	2,092,637	1,451,140	3,646,204	23,413	7,219,617
January 2024	3,550,000	3,004,706	2,177,492	1,451,140	3,731,058	23,413	7,304,471
February 2024	3,550,000	3,004,706	2,261,737	1,451,140	3,815,303	23,413	7,388,716
March 2024	3,550,000	3,004,706	1,981,772	1,451,140	3,535,338	23,413	7,108,751
Twelve Months Total	42,600,000	36,056,472	24,628,410	17,413,679	43,271,203	280,956	86,152,159
13 month average over the year	3,550,000	3,004,706	2,052,201	1,451,140	3,605,767	23,413	7,179,180
Capitalization Ratios	49.4%				50.2%	0.3%	100.0%
Capitalization Ratios for Ratesetting	49.7%				50.0%	0.3%	100.0%
Cost Rates	4.19%				10.15%	2.45%	
Return Components	**2.08%**				**5.08%**	**0.01%**	**7.17%**

Corrections and Updates Testimony of Jonathan Cohen

Exhibit ___ (JC-1CU)

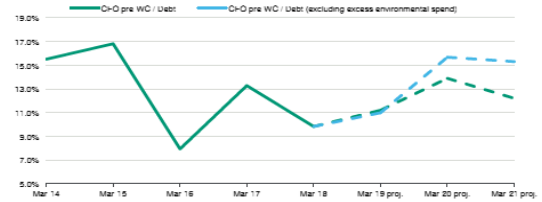
Schedule 3

KEDLI Credit Metric Projections

Moody's and S&P credit metric commentary (please scroll down)

Extracts from Moody's report in April 2019:

Exhibit 1
Key credit metrics likely to remain weak for several years
CFO pre-WC to gross debt, underlying and excluding excess environmental spending



Includes impact of bond issuance. Blue line excludes excess of environmental spending over associated recoveries.
Sources: National Grid, Moody's Investors Service

Rating outlook

KEDNY's CFO pre-WC/debt may remain in the low teens in percentage terms for several years as a result of the lag between anticipated spending on environmental remediation and associated revenue. The stable outlook reflects our expectation that, excluding this effect and once recoveries and spending are more balanced, KEDNY will be able to achieve CFO pre-WC/debt trending towards the mid-teens in percentage terms.

Factors that could lead to a downgrade

- CFO pre-WC/debt that no longer appears likely to trend toward the mid-teens in percentage terms in the near term, and to the high teens over the longer term
- Agreement of rate plans that do not provide for reasonably certain and timely recovery of environmental remediation costs
- Decrease in the New York Public Services Commission's (NYPSC) overall supportiveness
- Any rating downgrade would also take into consideration the credit quality of the wider National Grid group

KEDNY credit metric projections

Business plan projections based on initial rate case filing with the PSC:

CFO pre-WC to debt:

Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
15.47%	14.42%	18.59%	18.94%	18.98%	18.81%

National Grid commentary:

Moody's are indicating that if CFO pre-WC/debt does not trend towards the mid-teens in the short term and to the high teens in the long term, then KEDNY could be at risk of a further downgrade. The current requests to the PSC in the rate filing ensure that KEDNY can maintain its current ratings, albeit with minimal headroom

Extract from S&P report in September 2018:

Financial Risk: Significant

We assess BUG's financial measures using our medial volatility table, reflecting BUG's low-risk regulated gas distribution operations and effective management of regulatory risk. Our base-case scenario assumptions include: generally flat load growth, U.S. corporate tax reform, the company's three-year rate increase, a future rate increase, and capital spending averaging about $650 million annually. As such, we expect the company's financials will remain within the middle of the range for its financial risk profile category. Specifically, we expect FFO to debt to average about 16%-20%.

KEDNY credit metric projections

Business plan projections based on initial rate case filing with the PSC:

FFO to debt:

Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
15.53%	14.41%	19.14%	19.46%	19.46%	19.26%

National Grid commentary:

S&P are indicating that they expect FFO/debt to average between 16%-20% going forward. The current requests to the PSC in the rate filing show KEDNY is expected to be within this range following new rates.

Impacts of a downgrade to Baa1/BBB+

If ratings were to decline to the Baa1/BBB+ range, we would expect the cost of borrowing to increase by c.15-20bps.

In the long term, if the additional costs were to be applied to the whole debt book anticipated as at 2024, we would expect an additional $ 6,212,500 cost for customers per annum, based on 17.5bps increased spread

Exhibit __ (JC-1CU)
Schedule 3
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Exhibit ___ (JC-1CU)

Schedule 4

KEDLI Weighted Cost of Capital for both the Rate Year and the Term of a Multi-Year Rate Plan

KEDNY

One-Year Rate Plan

	Capitalization Ratio	Cost Rate	Weighted Cost
Long-Term Debt	51.58%	4.11%	2.12%
Customer Deposits	0.42%	2.45%	0.01%
Common Equity	48.00%	9.65%	4.63%
Total	100.00%		6.76%

Four-Year Rate Plan (ROE includes stay-out premium, forecasted cost of debt)

	Rate Year (FY21)			Data Year 1 (FY22)			Data Year 2 (FY23)			Data Year 3 (FY24)		
	Capitalization Ratio	Cost Rate	Weighted Cost	Capitalization Ratio	Cost Rate	Weighted Cost	Capitalization Ratio	Cost Rate	Weighted Cost	Capitalization Ratio	Cost Rate	Weighted Cost
Long-Term Debt	51.58%	4.11%	2.12%	50.61%	4.11%	2.08%	49.62%	4.11%	2.04%	49.67%	4.19%	2.08%
Customer Deposits	0.42%	2.45%	0.01%	0.39%	2.45%	0.01%	0.38%	2.45%	0.01%	0.33%	2.45%	0.01%
Common Equity	48.00%	10.15%	4.87%	49.00%	10.15%	4.97%	50.00%	10.15%	5.08%	50.00%	10.15%	5.08%
Total	100.00%		7.00%	100.00%		7.06%	100.00%		7.13%	100.00%		7.17%

Exhibit __ (JC-1CU)
Schedule 4
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Exhibit ___ (JC-1CU)

Schedule 5

Forecast Sources and Uses of Funds Statement

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
SOURCES AND USES OF FUNDS STATEMENT AND CREDIT METRICS
($000)

Sources of Funds	Rate Year Ending 3/31/21	Data Year Ending 3/31/22	Data Year Ending 3/31/23	Data Year Ending 3/31/24
Internal				
Net Income	227,722	279,453	311,265	309,303
Depreciation & Amortization	177,026	193,118	207,145	221,582
Deferred Taxes	86,830	106,555	118,685	117,937
Changes in Working Capital / Other	(14,000)	(4,000)	(22,000)	(8,000)
Total Internal Sources	477,578	575,127	615,095	640,822
External				
Equity Issuances	-	-	300,000	-
Long-Term Debt	400,000	-	500,000	-
Change in MP Balance (Borrowings)	-	473,316	-	571,635
Total External Sources	400,000	473,316	800,000	571,635
Total Sources of Funds	877,578	1,048,443	1,415,095	1,212,457
Uses of Funds				
Capital Expenditures	866,227	848,443	844,783	912,457
Reimbursement of Treasury	-	200,000	-	300,000
Redemptions				
Long-Term Debt	-	-	-	-
Change in MP Balance (Repayments)	11,351		570,313	
Total Uses of Funds	877,578	1,048,443	1,415,095	1,212,457

	Mar 2020 Bal.				
MP Balance	526,325*	537,676	64,360	634,673	63,038

MP = Money Pool

****Balance reflects the consolidated net debt from Business Plan 2018 and the Estimated Cost of Capital exhibit for the period ending March 31, 2020***